Financial Guidelines & Cost Eligibility Rules

Specific Guidelines for Budget Review & Deterministic Validation

Section 1: Eligible Direct Costs

Direct costs are identifiable expenditures directly generated by the project implementation:

1. **Personnel Costs**: Actual gross salaries plus statutory social charges of researchers, engineers, and technicians directly assigned to the action.
2. **Equipment and Infrastructure**: Only depreciation costs during project lifespan are eligible, not the full capital acquisition cost (unless rented or leased).
3. **Travel and Subsistence**: Direct travel costs necessary for consortium meetings, peer-reviewed conferences, and field trials.
4. **Subcontracting**: Permitted only for non-core specialized tasks (e.g. external audits, specialized cloud infrastructure tests). Subcontracting cannot exceed **15%** of the total requested grant budget.

Section 2: Indirect Costs (Overheads)

- **Flat-Rate Ceiling**: Indirect costs (general administrative expenses, office utilities, standard network infrastructure) are declared as a flat rate of strictly **25%** of eligible direct costs, excluding subcontracting costs and internally invoiced goods/services.
- **Strict Cap**: Any proposal where requested indirect costs exceed 25% of eligible direct costs shall trigger a budget discrepancy flag and must be automatically corrected or penalized.

Section 3: Non-Eligible Expenditures

The following expenses are strictly non-eligible and must be deducted:

- Deductible VAT / sales tax.
- Currency exchange losses.
- Provisions for future losses or potential liabilities.
- Entertainment or luxury travel expenses.
- Capital debt charges or interest fees.